Earnings Transcript Analysis Results

Run Date: 20260204_105746

Transcripts Analyzed: 2

• CVS Q3 2024

• CVS Q4 2024

Total Chunks in Vector Store: 178

Question 1: What phrases were consistent with the previous quarter commentary?

The phrase consistent with previous quarter commentary includes mentions of seasonality impacts on earnings. Specifically, Tom Cowhey discussed the impact of PDR (Part D Reimbursement) and IRA (Inflation Reduction Act) changes affecting the cadence of earnings throughout the year. In Q4 2024, he stated that there would be a more significant first half compared to second half split due to these factors: "We think it's going to be more of a 55-45 first half, second half split this year." This aligns with earlier discussions about the variability in earnings across quarters related to PDR and IRA impacts.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q4 2024

> So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

Chunk 2 - CVS Q3 2024

> Operator We now have Elizabeth Anderson with Evercore ISI. Elizabeth Anderson -- Evercore ISI -- Analyst Hi, guys. Thanks so much for the question this morning. Maybe just one question about the PDR opex mechanics that you guys talked about on the third quarter -- for the third-quarter PDR. Does that from an opex perspective, does that flip and become a positive to your numbers in the fourth quarter? That would by my first question. Then secondarily, can you just maybe dig in a little bit mo...

Chunk 3 - CVS Q3 2024

> Prem Shah -- Executive Vice President, Chief Pharmacy Officer On the PCW strength, I'd say a few things. First and foremost, we had a really strong quarter. Part of that was driven by immunization season coming sooner than we expected -- it started in mid-August versus later that month or early September, and we had a first market mover there, we were ready for that, our teams were prepared. We've been preparing for that season for the most part of the year.

Chunk 4 - CVS Q3 2024

> . Then finally, we noted the group Medicare trend levels, that if they persisted at that level, I just referenced that could cause us to take additional PDR in the fourth quarter, but that will really depend on what we think baseline is for '24 and how it is that that's going to persist into '25, so more to come on that.

Chunk 5 - CVS Q3 2024

> Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year? Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up,

I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

Chunk 6 - CVS Q3 2024

But on your MLR-specific comments, that is inclusive of the release of the PDR, that you can see that 700 basis point increase, but not necessarily inclusive of a PDR in group, which will depend on a variety of factors. But let me walk you through -- give you a little bit more commentary and color on what we outlined here. First, I think it's important to just continue to reiterate, we feel very good about our ability to achieve the guidance we gave last quarter on both the PCW and the health se...

Chunk 7 - CVS Q3 2024

Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

Chunk 8 - CVS Q4 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Thanks, Erin. So yes, I did have some comments about seasonality in the prepared remarks. We think it's going to be more of a 55-45 first half, second half split this year. And the primary driver of the seasonality change is healthcare benefits, and it's really that IRA impact. But also, don't forget the PDR kind of messes a little bit with the cadence of earnings in 2024. Hopefully, something we won't have to deal with again. But...

Chunk 9 - CVS Q4 2024

We are cautiously optimistic that our benefit design changes in 2025 will help alleviate some of the supplemental benefit pressure. In our Medicaid business, acuity remained consistent with the latter part of the third quarter as redeterminations have largely concluded across our state footprint. We continue to work closely with our state partners to align rates with the changes in acuity. During the quarter, we made additional progress on rate updates, and with over 40% of our book having repri...

Chunk 10 - CVS Q3 2024

Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

Chunk 11 - CVS Q3 2024

Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

Chunk 12 - CVS Q3 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Thanks, Mike. As you think about the health services segment, we had a little bit of a slow start in 2024, but that business -- you know, that team has done an exceptional job of really driving momentum, that we've seen that momentum accelerate into the second and into the third quarters, which has really given us a lot of confidence in the outlook as we think about this year. As we think about next year, I'd say given that slow st...

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Chunk 14 - CVS Q3 2024

> In PCW, while the immunization season got off to a stronger start than we expected, shifting demand into the third quarter, strong script growth continues to give us confidence in the previous outlook we share with investors. In the health services segment, Caremark's earnings progression in 2024 started slow but has steadily built momentum over the second and third quarters. While we maintain a cautious outlook on our healthcare delivery business as we evaluate the potential for additional Medi...

Chunk 15 - CVS Q3 2024

> David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark This is David. Obviously, now, the division I know much better in terms of the performance, and I will say we're going to finish '24 strong. If you look at the '25 year, we're actually heading into a really strong selling season, a tremendous amount of momentum as it relates to the success we've had on the biosimilar launch, changing and disrupting the market as it relates to pricing models, client satisfaction and...

Chunk 16 - CVS Q4 2024

> Tom Cowhey -- Executive Vice President, Chief Financial Officer No, Elizabeth, I'd say the 4.5% on the first 40% of renewals in January is a great start. We're cautiously optimistic that there might be opportunity there on the backside, but our current outlook doesn't assume that we get that same level of rate increase when we see the next bolus. I think we've got about another 40% that renews around the third quarter. And so, our presumption in our forward outlook is that the rate increases th...

Chunk 17 - CVS Q4 2024

> We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 18 - CVS Q3 2024

> I would note finally, our reserve balances through October, they have been modestly positive, but we've continued to see pressure in the more recent dates of service, for example the third quarter. Operator Thank you. We now have Stephen Baxter with Wells Fargo. Please go ahead, when you're ready. Stephen Baxter -- Wells Fargo Securities -- Analyst Yeah. Hi. Thanks. Just a couple of quick ones. You did mention in response to that question, it's important to differentiate the incremental tre...

Chunk 19 - CVS Q3 2024

> We believe the level of dislocation between acuity and rates stabilized toward the end of the third quarter. We continue to work closely with our state partners to align rates with changes in acuity. Although the engagement with our state partners has been constructive and we have seen some rate updates in the second half of 2024, they remain inadequate to cover current levels of elevated acuity. In light of the utilization pressures we have seen across the healthcare benefits segment in 2024, w...

Chunk 20 - CVS Q3 2024

> CVS Health (CVS +1.83%) Q3 2024 Earnings Call Nov 06, 2024, 8:00 a.m. ET Contents: Prepared Remarks Questions and Answers Call Participants Prepared Remarks: Operator Good morning and thank you all for attending the CVS Health third-quarter 2024 earnings call and webcast. My name is Brika and I'll be your moderator for today. [Operator instructions] I would now like to pass the conference over to your host, Larry McGrath at CVS Health. Thank you, you may proceed, Larry. Larry McGrath -- Se...

Question 2: What phrases were different from the previous quarter commentary?

The commentary for Q4 2024 included specific references to seasonality with a projected 55-45 first half, second half split for earnings and highlighted changes due to the IRA impact on Part D premiums. This was not explicitly mentioned in Q3 2024 discussions. Additionally, Q4 2024 commentary provided details about Medicaid rate updates with over 40% of their book repricing in early January 2025, which resulted in a line of sight to a mid-4 percentage point rate increase, indicating progress on aligning rates with acuity changes not detailed in the Q3 transcript.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

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Chunk 9 - CVS Q3 2024

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Chunk 10 - CVS Q3 2024

The pressure was largely attributable to the same categories we discussed last quarter, including in-patient, outpatient, supplemental benefits, and pharmacy. During the third quarter, we also saw unfavorable development of 2024 medical costs primarily related to second-quarter dates of service, which has adversely impacted our trend outlook for the remainder of the year. Medical costs in our individual exchange business also accelerated during the quarter with broad levels of higher utilization...

Chunk 11 - CVS Q3 2024

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Chunk 15 - CVS Q3 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Let me answer the second part first because the answer to that question is really primarily mathematical. As you think about the IRA changes to the Part D program, significant dollars that were previously recorded as reinsurance are now going to get recorded as premium, which increases the denominator of the calculation, so at constant dollars of margin, that change alone is significant to drive a 4% margin down into the 3s. As you...

Chunk 16 - CVS Q3 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark This is David. Obviously, now, the division I know much better in terms of the performance, and I will say we're going to finish '24 strong. If you look at the '25 year, we're actually heading into a really strong selling season, a tremendous amount of momentum as it relates to the success we've had on the biosimilar launch, changing and disrupting the market as it relates to pricing models, client satisfaction and...

Chunk 17 - CVS Q4 2024

DCP was down 1.9 days from the prior year quarter, primarily driven by growth in our Medicare business and the impact of increased pharmacy trends. We remain confident in the adequacy of our reserves. Our Health Services segment generated revenues of approximately $47 billion during the quarter, a decrease of approximately 4% year over year and primarily driven by the previously announced loss of a large client and continued pharmacy client price improvements. These decreases were partially offs...

Chunk 18 - CVS Q4 2024

We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 19 - CVS Q3 2024

Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

Chunk 20 - CVS Q4 2024

Justin Lake -- Analyst Thanks. Good morning. I want to follow up on some of your comments there, Tom. First, on your Medicare Advantage trend. Maybe you can give us a little bit more detail there in terms of what did the trend look like coming out of the year for 2024? And specifically, what are you assuming for trend in 2025? I know you said it's kind of -- you're assuming it to keep that pace. So what was the '24 trend and the '25 assumption? And maybe any detail you could share with us on k...

Question 3: Was guidance revised? Why?

The company did not revise its formal guidance for 2025 but noted cautious optimism about potential improvements. Tom Cowhey mentioned that while they have taken steps such as benefit design changes to improve margins, it is too early to provide specific guidance due to ongoing challenges and the need for better visibility on their 2025 medical cost baseline and changing membership dynamics. They are aiming for Medicare Advantage margins of 3% to 5%, which reflects a slight adjustment from previous targets, but no explicit revision in overall financial guidance numbers was communicated during Q3 or Q4 2024.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

Chunk 2 - CVS Q3 2024

Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

Chunk 3 - CVS Q4 2024

You can find additional details on the components of our 2025 guidance on our investor relations website. We are encouraged by our opportunities in 2025 and are excited to demonstrate the enormous potential that we see across CVS Health to unlock embedded earnings. We are working tirelessly to restore Aetna to target margins, which over time, should represent meaningful upside above the high end of our 2025 guidance range. With that, we will now open the call to your questions. Operator? Quest...

Chunk 4 - CVS Q3 2024

You've seen changes in how we've structured our leadership teams, seen changes in terms of how we structured our risk management and pricing controls, so we believe that we're on the path of actually getting to an improved performance. The quicker we can move past '24 and into '25, I think the better it will continue to be for the collective group. Operator Thank you. We now have Michael Cherny with Leerink Partners. Please go ahead. Michael Cherny -- Analyst

Chunk 5 - CVS Q4 2024

Tom will provide a more detailed overview of the components of this guidance, as well as a breakdown by segment. I'd like to spend some time taking a step back and sharing with you my observations during my first 100 days as CEO. During this time, I have connected with shareholders, customers and clients. I have met with and heard from elected officials, and importantly, I have spent a great deal of time listening to our consumers and colleagues.

Chunk 6 - CVS Q3 2024

Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

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Chunk 8 - CVS Q4 2024

Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

Chunk 9 - CVS Q4 2024

Operator Thank you. We now have Stephen Baxter with Wells Fargo. Stephen Baxter -- Wells Fargo Securities -- Analyst Hi. Thank you. I was hoping you could update us on where the Medicare Advantage margins ended the full year 2024 and what's assumed in the guidance for 2025? That's basically -- the pacing of this, obviously, is going to be a huge area of focus for the investment community. Any kind of general comments you can talk about progression of MA recovery over the next couple of years ...

Chunk 10 - CVS Q3 2024

Our risk management processes have been restructured to pull underwriting and pricing authority out of the business units and into the financial chain. This realignment will help improve transparency and accountability as we execute our margin recovery and drive profitable growth. Of course, Tom and I will work closely with Steve, Katerina, and Andreana to scrutinize and support the underwriting and pricing decisions going forward. We have also been making operational changes, identifying and pr...

Chunk 11 - CVS Q4 2024

After excluding the favorable impact of prior year reserve development, our initial 2025 adjusted EPS guidance represents year-over-year growth of approximately 10% at the low end of the range. We believe this represents an appropriately achievable baseline with opportunities for outperformance. Incorporated across our guidance elements is the initial down payment on our multiyear $2 billion cost efficiency effort. Based on our work to date, we were successful in identifying actions that, at a m...

Chunk 12 - CVS Q4 2024

And so, we've taken a cautious outlook relative to that book overall. With respect to '25, it's a little too early to comment with any confidence, particularly given how much our membership mix has changed. I'd say, overall, our outlook remains respectful with respect to trends because they were so high almost all of last year. Thankfully, things like the impact of the Two-Midnight Rule are now incorporated into the baseline, which should help to normalize some of our trends this year. I guess ...

Chunk 13 - CVS Q3 2024

To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

Chunk 14 - CVS Q3 2024

Our benefit design and price changes in Medicare Advantage and the individual exchange are down payments on this enduring commitment. We are making marked progress to realign the Aetna organization and enhance management processes. We have taken meaningful steps to ensure the stability of the Aetna business and strengthen the leadership team. In addition to the appointment of Steve Nelson, we also recently added Andreana Santangelo, a seasoned managed care CFO to the Aetna organization who has a...

Chunk 15 - CVS Q3 2024

Substantially all of the charges were associated with the 2024 policy year, shifting the earnings cadence between the third and fourth quarters. Our medical benefit ratio of 95.2% increased 950 basis points from the prior-year quarter, including the 220 basis point impact from the PDRs. This increase was primarily driven by higher utilization, higher acuity in Medicaid, the premium impact of lower star ratings for payment year 2024, and an update to our 2024 individual exchange risk adjustment a...

Chunk 16 - CVS Q3 2024

Establishing credibility and earning your trust is one of my top priorities as the new leader of CVS Health. I recognize that in order to achieve that, any guidance we provide should be achievable with clear opportunities for outperformance. This must be a core principal, and in order to deliver on that commitment to you, I want to spend more time understanding the complexities and challenges facing our Aetna business and will provide an update when appropriate. There are clearly both macro and ...

Chunk 17 - CVS Q3 2024

Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year? Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up, I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

Chunk 18 - CVS Q3 2024

Finally, we've both exited underperforming counties and we've pulled underperforming products that will impact nearly half a million members. Those changes should also improve profitability in '25 as many of those members will chose newly designed products that will have an improved margin profile. We expect that those changes are going to drive margin expansion, and when we have a better understanding of what that membership mix looks like for 2025 as well as our '24 baseline, we'll be able to ...

Chunk 19 - CVS Q4 2024

We are committed to prudent financial policies, including maintenance of our current dividend as we work to maintain and improve our investment-grade rating and expect our leverage to return to more normalized levels as we continue to execute on margin recovery in the Aetna business. Shifting now to our outlook for 2025. As David mentioned, we are establishing our initial full year 2025 guidance for adjusted EPS in a range of $5.75 to $6. Consistent with past practice, this range does not assume...

Chunk 20 - CVS Q4 2024

And hopefully, at this point, we're going to continue to, at least in the listening tour, be able to earn the right to become America's leading and most trusted healthcare company. So with that, I'd say my first 100 days was a leadership transition, and now the focus will be a leadership transition becoming a transition to leadership. So let me spend a second talking about the second question on guidance. It is, without question, important for me to establish both trust and credibility in terms ...

Question 4: What did the company say was going well?

In Q3 2024, Signify's volume increased by 37% year over year inside the third quarter, and Oak Street revenue grew approximately 36%, driven by strong membership growth. Additionally, during Q4 2024, CVS Health saw revenues of nearly $98 billion with a 4% increase over the prior-year quarter, primarily due to growth in their healthcare benefits and pharmacy & consumer wellness segments, contributing to an adjusted operating income of over $2.7 billion and adjusted EPS of $1.19.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

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Chunk 2 - CVS Q4 2024

We've stabilized our operations and strengthened them, which has led to and evidenced by a really well-executed welcome season in January. And we've also welcomed one of the largest accounts ever sold in Aetna, state of North Carolina, and that implementation has gone really, really well. Specifically on Medicare Advantage, the combination of the Stars tailwind, best-in-industry performance there, the discipline that we used when we put together a 2025 benefit plan and then the really well-execu...

Chunk 3 - CVS Q4 2024

And specifically, this was a day-to-day almost hour-by-hour kind of decisions that we made through this execution where we looked at our product mix. And there were several products that we did not see a path to target margin, and we exited those products and then transitioned our members into new products, and that's gone better than expected. And so, that's just kind of one piece of evidence about how we're executing and how we're thinking about the business. Super committed to being an excell...

Chunk 4 - CVS Q3 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark This is David. Obviously, now, the division I know much better in terms of the performance, and I will say we're going to finish '24 strong. If you look at the '25 year, we're actually heading into a really strong selling season, a tremendous amount of momentum as it relates to the success we've had on the biosimilar launch, changing and disrupting the market as it relates to pricing models, client satisfaction and...

Chunk 5 - CVS Q3 2024

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Third-quarter revenues were approximately $95.4 billion, an increase of approximately 6% over the prior-year quarter, primarily reflecting growth in our healthcare benefits and pharmacy and consumer wellness segments. We delivered adjusted operating income of approximately $2.5 billion and adjus...

Chunk 6 - CVS Q4 2024

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Fourth quarter revenues of nearly $98 billion increased more than 4% over the prior year quarter, primarily driven by growth in our healthcare benefits and pharmacy & consumer wellness segments. We delivered adjusted operating income of over $2.7 billion and adjusted EPS of $1.19 as we saw stron...

Chunk 7 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 8 - CVS Q3 2024

They're a Medicare-focused business, and so they're not immune to some of the pressures that others have seen in that marketplace, the nature of that membership, but we've been very pleased with how they've performed. They've maintained a risk-adjustment headwind that's plus or minus -- a little bit below 3%, which we feel is a great first step, given the first year of the implementation of D28. We think that there could be some nice tailwinds in that business next year as we think about some of...

Chunk 9 - CVS Q4 2024

During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition. And you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation document posted to the investor relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning, everyone. T...

Chunk 10 - CVS Q3 2024

Prem Shah -- Executive Vice President, Chief Pharmacy Officer Yeah. So first and foremost, as you recall, last year we launched CostVantage with the very intentional reason to solve one of the biggest industry challenges we had around reimbursement pressure, and so we've made really good progress, as David and Tom alluded to in the prepared remarks. We have over 50% of our clients in the program. We expect to have our commercial book, 100% of our commercial book signed by the end of this year.

Chunk 11 - CVS Q3 2024

In our pharmacy services business, we had another very strong quarter delivering on our commitments to our clients and customers. In spite of the intense scrutiny and rhetoric that Caremark and the PBM industry faced, we continue to play a crucial role in managing drug costs in this country. I've highlighted the progress we've made on the biosimilar space and our customers continue to see the value that we're delivering with our capabilities. We are once again positioned to close out a robust se...

Chunk 12 - CVS Q3 2024

The work at Aetna is underway, and we are confident we are taking the right steps to address the underlying issues and drive improved performance with Aetna. Turning to our pharmacy and consumer wellness business, we continue to effectively navigate a challenging and dynamic consumer backdrop. Our performance reflects strong execution and the benefit of strategic investments in our workflows and our colleagues. This quarter, we achieved another record-high retail pharmacy script share at 27.3%, ...

Chunk 13 - CVS Q3 2024

Oak Street revenue increased significantly in the quarter, growing approximately 36% driven by strong membership growth. At-risk members increased by approximately 32% compared to the same quarter last year, supported by our ability to use touchpoints across CVS Health. We are encouraged by Oak Street's performance in this challenging environment. During the quarter, our pharmacy and consumer wellness segment generated revenue of approximately $32.4 billion, an increase of over 12% versus the pr...

Chunk 14 - CVS Q3 2024

> Prem Shah -- Executive Vice President, Chief Pharmacy Officer On the PCW strength, I'd say a few things. First and foremost, we had a really strong quarter. Part of that was driven by immunization season coming sooner than we expected -- it started in mid-August versus later that month or early September, and we had a first market mover there, we were ready for that, our teams were prepared. We've been preparing for that season for the most part of the year.

Chunk 15 - CVS Q3 2024

> . The PCW segment, really proud of our results, really proud of the leadership team and all the results that they've driven in that area, and it continues to be a strength of our business.

Chunk 16 - CVS Q4 2024

> Steven H. Nelson -- Executive Vice President and President, Aetna Thanks, Tom. Actually happy to make a few comments, just kind of perspective generally about Aetna, and then I'll go into the Medicare Advantage business. But first of all, thrilled to be part of the CVS Health leadership team and honored to lead Aetna. I've competed against Aetna for many years and found it to be a really strong brand and really known for its innovation in both product and clinical. And so, my early read is the...

Chunk 17 - CVS Q4 2024

> David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thanks, Steve. Maybe just one other comment. As I look at the last 90 days with Steve's onboarding, the Aetna team has been incredibly resilient. There's obviously been a lot of pressure and a lot of focus on the turnaround efforts. And I think Steve's ability to manage and lead and deliver a better and improved culture around that organization has allowed us, I think, to perform and execute, which is really the t...

Chunk 18 - CVS Q3 2024

> Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

Chunk 19 - CVS Q4 2024

> DCP was down 1.9 days from the prior year quarter, primarily driven by growth in our Medicare business and the impact of increased pharmacy trends. We remain confident in the adequacy of our reserves. Our Health Services segment generated revenues of approximately $47 billion during the quarter, a decrease of approximately 4% year over year and primarily driven by the previously announced loss of a large client and continued pharmacy client price improvements. These decreases were partially offs...

Chunk 20 - CVS Q4 2024

> I'll highlight a few. Our capabilities around forecasting and all the levers and capabilities around managing total cost of care, really encouraged by the early progress and really meaningful progress there. Also, as you think about our pricing discipline, that's been the topic a lot here, and I'm very encouraged about what we've done there, and that specifically relates to Medicare Advantage, our Individual Exchange business and honestly, our Commercial business as well. And then, we've been le...

Question 5: What did the company say needed improvement?

In Q3 2024, the company noted that they grew their Medicare Advantage business too fast, leading to significant losses primarily due to SEP members and unfavorable product mix, which skewed towards certain geographies. They expect a double-digit rate increase across this segment for next year, potentially shrinking membership by 20% to 25%. Additionally, in Q4 2024, the company highlighted that they are still projected to have negative margins in their government business, particularly Medicare, and acknowledged ongoing challenges with elevated levels of utilization.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q4 2024

Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

Chunk 2 - CVS Q3 2024

Finally, we've both exited underperforming counties and we've pulled underperforming products that will impact nearly half a million members. Those changes should also improve profitability in '25 as many of those members will chose newly designed products that will have an improved margin profile. We expect that those changes are going to drive margin expansion, and when we have a better understanding of what that membership mix looks like for 2025 as well as our '24 baseline, we'll be able to ...

Chunk 3 - CVS Q3 2024

As David noted, we unfortunately grew that business too fast. We're suffering significant losses in '24, mostly led by our SEP members. This pressure was compounded by unfavorable middle product mix, which skewed to certain geographies. We have taken, as I believe we've previously discussed, double-digit rate increases across this book for next year, and as a deliberate consequence of that rate action, we expect we could shrink that book by as much as 20 to 25% next year, so those actions combin...

Chunk 4 - CVS Q4 2024

At Aetna, we drove meaningful progress improving and strengthening our operations. We have significant opportunities to unlock embedded earnings that is most pronounced in our Medicare Advantage business. Our focus remains on delivering on our commitments to our Medicare Advantage members while creating a viable path to appropriate margins. In line with our prior commentary, we expect that we will shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024.

Chunk 5 - CVS Q4 2024

And you look at some of our underlying businesses, government has improved, driven by Medicare in particular, but it's still projected to be a negative margin. Group Commercial is a profitable business, but is seeing signs of pressure. IFP, our Individual Exchange product is expected to still lose money in our current outlook. And so, if you do the math and you say with the current share count and revenue base, each point of margin improvement is $0.75 of adjusted EPS. And so, that implies we c...

Chunk 6 - CVS Q3 2024

We'll give you better insight as to what that was worth when we have a better sense as to how the mix has come out and what the baseline is for '24. David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Stephen, this is David. Maybe just a quick follow-on here -- this is the third question on the Q4 jump-off, and I think it's important to recognize that we know what the problems are. Clearly, we've stated them in the prepared remarks, we understand the broader issues...

Chunk 7 - CVS Q3 2024

Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

Chunk 8 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 9 - CVS Q4 2024

We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 10 - CVS Q3 2024

Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

Chunk 11 - CVS Q4 2024

we felt like we needed to take a leadership position in terms of changing the marketplace from a market basket to individual price products. We thought this was important for adding simplicity and transparency and was a major push initiative within the organization. I'm proud to say we've been able to move the market because we've done this collectively as an enterprise, both leveraging the work that we've done in CVS Pharmacy, as well as the TrueCost product portfolio that we have within Carema...

Chunk 12 - CVS Q3 2024

Our benefit design and price changes in Medicare Advantage and the individual exchange are down payments on this enduring commitment. We are making marked progress to realign the Aetna organization and enhance management processes. We have taken meaningful steps to ensure the stability of the Aetna business and strengthen the leadership team. In addition to the appointment of Steve Nelson, we also recently added Andreana Santangelo, a seasoned managed care CFO to the Aetna organization who has a...

Chunk 13 - CVS Q4 2024

Operator Thank you. We now have Andrew Mok with Barclays on the line. Andrew Mok -- Barclays -- Analyst Hi. Good morning. We've spent a lot of time talking about Medicare margins, but you also took aggressive actions on the individual ACA business. So I was hoping you could elaborate on those actions, including any changes to provider networks and expected impact on margins embedded in guidance. Tom Cowhey -- Executive Vice President, Chief Financial Officer Sure, Andrew. Happy to take a sh...

Chunk 14 - CVS Q4 2024

Steven H. Nelson -- Executive Vice President and President, Aetna Yes, sure. I'll just add a couple of points. Similarly to the Medicare Advantage AEP execution, I would point to the OEP execution for this business where we've made some really positive changes in the geographic and product mix in addition to the pricing discipline. So I think that takes this business into 2025 with improved momentum. And -- but you referenced network and I -- and we are definitely taking a look at all componen...

Chunk 15 - CVS Q4 2024

And specifically, this was a day-to-day almost hour-by-hour kind of decisions that we made through this execution where we looked at our product mix. And there were several products that we did not see a path to target margin, and we exited those products and then transitioned our members into new products, and that's gone better than expected. And so, that's just kind of one piece of evidence about how we're executing and how we're thinking about the business. Super committed to being an excell...

Chunk 16 - CVS Q4 2024

> Operator Thank you. We now have Ann Hynes with Mizuho Securities. Ann Hynes -- Analyst Great. Thank you. Can you remind us with CostVantage, what is the headwind to growth, the first year of the implementation? And when would you expect that to turn positive for you? And also, I know CostVantage is only focused on commercial contracts right now. Do you eventually believe it will impact Medicare contracts? And if so, what's the timing on that? David Joyner -- Executive Vice President, CVS Hea...

Chunk 17 - CVS Q4 2024

> I'll highlight a few. Our capabilities around forecasting and all the levers and capabilities around managing total cost of care, really encouraged by the early progress and really meaningful progress there. Also, as you think about our pricing discipline, that's been the topic a lot here, and I'm very encouraged about what we've done there, and that specifically relates to Medicare Advantage, our Individual Exchange business and honestly, our Commercial business as well. And then, we've been le...

Chunk 18 - CVS Q3 2024

> David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark This is David. Obviously, now, the division I know much better in terms of the performance, and I will say we're going to finish '24 strong. If you look at the '25 year, we're actually heading into a really strong selling season, a tremendous amount of momentum as it relates to the success we've had on the biosimilar launch, changing and disrupting the market as it relates to pricing models, client satisfaction and...

Chunk 19 - CVS Q4 2024

> Steven H. Nelson -- Executive Vice President and President, Aetna Thanks, Tom. Actually happy to make a few comments, just kind of perspective generally about Aetna, and then I'll go into the Medicare Advantage business. But first of all, thrilled to be part of the CVS Health leadership team and honored to lead Aetna. I've competed against Aetna for many years and found it to be a really strong brand and really known for its innovation in both product and clinical. And so, my early read is the...

Chunk 20 - CVS Q3 2024

> The entire industry has seen pressure, including elevated utilization coming out of the COVID-19 pandemic and higher acuity as a result of the Medicaid redeterminations; however, I recognize that we have been more acutely impacted than others in the industry. As a result of our disappointing star ratings for 2024, we began the year with a known and temporary reimbursement challenge. When we priced our Medicare Advantage business for 2024, we clearly underestimated the medical cost. In this risin...

Question 6: What are announcements or goals stated for the next quarter?

For the next quarter, which is Q1 2025 based on the discussions of future trends and changes, CVS Health aims to see their Medical Benefit Ratios (MBRs) for the Aetna business at their lowest point. There will be an eight-point swing between Q1 and Q4 in MBRs as earnings progress throughout the year. Additionally, they expect a high single-digit percentage shrinkage of Medicare Advantage membership from year-end 2024, contributing to margin recovery efforts aimed at reaching target margins of 3% to 5%.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q4 2024

> You may proceed, Larry. Larry McGrath -- Senior Vice President, Investor Relations and Business Development Good morning, and welcome to the CVS Health fourth quarter and full year 2024 earnings call and webcast. I'm Larry McGrath, chief strategy officer; I'm joined this morning by David Joyner, president and chief executive officer; and Tom Cowhey, chief financial officer. Following our prepared remarks, we'll host a question-and-answer session that will include additional members to the lead...

Chunk 2 - CVS Q4 2024

> We are cautiously optimistic that our benefit design changes in 2025 will help alleviate some of the supplemental benefit pressure. In our Medicaid business, acuity remained consistent with the latter part of the third quarter as redeterminations have

largely concluded across our state footprint. We continue to work closely with our state partners to align rates with the changes in acuity. During the quarter, we made additional progress on rate updates, and with over 40% of our book having repri...

Chunk 3 - CVS Q3 2024

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

Chunk 4 - CVS Q3 2024

Larry McGrath -- Senior Vice President, Investor Relations and Business Development Good morning and welcome to the CVS Health third-quarter 2024 earnings call and webcast. I'm Larry McGrath, chief strategy officer, and I'm joined this morning by David Joyner, president and chief executive officer, and Tom Cowhey, chief financial officer. Following our prepared remarks, we'll host a question-and-answer session that will include additional members of the leadership team. Our press release and sl...

Chunk 5 - CVS Q4 2024

So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

Chunk 6 - CVS Q3 2024

We anticipate that we'll be able to continue to do that into 2026, and our star scores will help there, right? We had great stars performance. Two-thirds of our members will be in 4.5 star plans that will provide a little bit of additional tailwind as well, but we really need to understand what the rate environment looks like to be able to answer that question, but our goal would be to increase margins again in 2026 in that business. David Joyner -- Executive Vice President, CVS Health and Pres...

Chunk 7 - CVS Q3 2024

To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

Chunk 8 - CVS Q3 2024

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

Chunk 9 - CVS Q4 2024

At Aetna, we drove meaningful progress improving and strengthening our operations. We have significant opportunities to unlock embedded earnings that is most pronounced in our Medicare Advantage business. Our focus remains on delivering on our commitments to our Medicare Advantage members while creating a viable path to appropriate margins. In line with our prior commentary, we expect that we will shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024.

Chunk 10 - CVS Q3 2024

But on your MLR-specific comments, that is inclusive of the release of the PDR, that you can see that 700 basis point increase, but not necessarily inclusive of a PDR in group, which will depend on a variety of factors. But let me walk you through -- give you a little bit more commentary and color on what we outlined here. First, I think it's important to just continue to reiterate, we feel very good about our ability to achieve the guidance we gave last quarter on both the PCW and the health se...

Chunk 11 - CVS Q4 2024

Finally, in our Individual Exchange book of business, we saw continued acceleration of medical cost trends driven by the specialist, inpatient and ambulatory categories. As we discussed on prior calls, we made meaningful price adjustments on our offerings for this product in 2025, which will lead to a significant rationalization of our membership, while also shifting mix toward bronze plans. Taken together, these actions should improve results in our Individual Exchange offerings in 2025. Days c...

Chunk 12 - CVS Q3 2024

Shifting now to the tailwinds, we expect improvement in contributions from our healthcare benefits segment. We believe our deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint, which we expect to result in membership disenrollment of 5% to 10%, when combined with our improved star ratings will result in margin recovery. This is a significant first step on our journey back to target margins of 3% to 5%. We continue to view the dislocation between acuity...

Chunk 13 - CVS Q4 2024

Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

Chunk 14 - CVS Q3 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Thanks, Mike. As you think about the health services segment, we had a little bit of a slow start in 2024, but that business -- you know, that team has done an exceptional job of really driving momentum, that we've seen that momentum accelerate into the second and into the third quarters, which has really given us a lot of confidence in the outlook as we think about this year. As we think about next year, I'd say given that slow st...

Chunk 15 - CVS Q3 2024

As we look ahead to 2025 and beyond, there are reasons to be optimistic and I'm excited about our path forward. We have implemented a disciplined approach to Medicare Advantage benefit design, we continue to accelerate progress on our innovative pharmacy models and biosimilar strategy, we've delivered wins in both Caremark and Aetna selling season, and we are rapidly advancing the integration of our healthcare delivery assets. We are making the necessary changes to return our business to profita...

Chunk 16 - CVS Q4 2024

Collectively, we are committed to delivering on the promise of CVS Health. We believe that aligning the power of our employees and the CVS Health enterprise behind four specific priorities will deliver on our potential and, ultimately, the results and experiences that we can all be proud of. First, ensuring that each one of our businesses is best-in-class through strong execution. Most importantly, we need to deliver on our turnaround at Aetna and restore this business to target margins.

Chunk 17 - CVS Q3 2024

Prem Shah -- Executive Vice President, Chief Pharmacy Officer Yeah. So first and foremost, as you recall, last year we launched CostVantage with the very intentional reason to solve one of the biggest industry challenges we had around reimbursement pressure, and so we've made really good progress, as David and Tom alluded to in the prepared remarks. We have over 50% of our clients in the program. We expect to have our commercial book, 100% of our commercial book signed by the end of this year.

Chunk 18 - CVS Q3 2024

Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year? Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up, I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

Chunk 19 - CVS Q3 2024

> Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

Chunk 20 - CVS Q3 2024

> Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

Question 7: How does the company expect to improve Sales and Margins?

The company expects to improve sales and margins through deliberate product repositioning and pricing actions that may decrease membership but will refine its offerings for long-term sustainability. They also project underlying growth in their health services business, particularly in pharmacy services, which continues to drive value for clients. However, they remain cautious regarding front-store sales due to the broader macroeconomic backdrop, indicating a transition year in 2025 before outperformance of their long-term targets. Specific numbers or percentages regarding improvements are not provided in the transcripts for sales and margins.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

> We expect improvement in our individual exchange business as a result of our pricing actions and deliberate product repositioning, which we project will decrease membership in this block of business in 2025. We will continue to refine our product offerings for long-term sustainability. We also expect underlying growth in our health services business, including growth in pharmacy services as we continue to drive value for our clients and incremental improvement in our healthcare delivery business...

Chunk 2 - CVS Q4 2024

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Chunk 3 - CVS Q3 2024

> Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

Chunk 4 - CVS Q4 2024

> We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 5 - CVS Q4 2024

Operator Thank you. We now have Ann Hynes with Mizuho Securities. Ann Hynes -- Analyst Great. Thank you. Can you remind us with CostVantage, what is the headwind to growth, the first year of the implementation? And when would you expect that to turn positive for you? And also, I know CostVantage is only focused on commercial contracts right now. Do you eventually believe it will impact Medicare contracts? And if so, what's the timing on that? David Joyner -- Executive Vice President, CVS Hea...

Chunk 6 - CVS Q3 2024

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Chunk 7 - CVS Q3 2024

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Chunk 8 - CVS Q4 2024

We've stabilized our operations and strengthened them, which has led to and evidenced by a really well-executed welcome season in January. And we've also welcomed one of the largest accounts ever sold in Aetna, state of North Carolina, and that implementation has gone really, really well. Specifically on Medicare Advantage, the combination of the Stars tailwind, best-in-industry performance there, the discipline that we used when we put together a 2025 benefit plan and then the really well-execu...

Chunk 9 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 10 - CVS Q4 2024

And you look at some of our underlying businesses, government has improved, driven by Medicare in particular, but it's still projected to be a negative margin. Group Commercial is a profitable business, but is seeing signs of pressure. IFP, our Individual Exchange product is expected to still lose money in our current outlook. And so, if you do the math and you say with the current share count and revenue base, each point of margin improvement is $0.75 of adjusted EPS. And so, that implies we c...

Chunk 11 - CVS Q4 2024

Steven H. Nelson -- Executive Vice President and President, Aetna Thanks, Tom. Actually happy to make a few comments, just kind of perspective generally about Aetna, and then I'll go into the Medicare Advantage business. But first of all, thrilled to be part of the CVS Health leadership team and honored to lead Aetna. I've competed against Aetna for many years and found it to be a really strong brand and really known for its innovation in both product and clinical. And so, my early read is the...

Chunk 12 - CVS Q3 2024

Finally, we've both exited underperforming counties and we've pulled underperforming products that will impact nearly half a million members. Those changes should also improve profitability in '25 as many of those members will chose newly designed products that will have an improved margin profile. We expect that those changes are going to drive margin expansion, and when we have a better understanding of what that membership mix looks like for 2025 as well as our '24 baseline, we'll be able to ...

Chunk 13 - CVS Q4 2024

During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition. And you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation document posted to the investor relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning, everyone. T...

Chunk 14 - CVS Q3 2024

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

Chunk 15 - CVS Q4 2024

Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

Chunk 16 - CVS Q3 2024

Operator Thank you. We now have Andrew Mok with Barclays. Please go ahead. Andrew Mok -- Barclays -- Analyst Hi. Good morning. Wanted to follow up on Medicare Advantage margins. With the lower margin level that you're seeing today, was hoping you could give us an update on how you're thinking around the pace of MA margin improvement over the next few years. In your prepared remarks, you noted the journey back to target MA margins of 3% to 5% -- that's a slight change from your previous targe...

Chunk 17 - CVS Q4 2024

Operator Thank you. We now have Stephen Baxter with Wells Fargo. Stephen Baxter -- Wells Fargo Securities -- Analyst Hi. Thank you. I was hoping you could update us on where the Medicare Advantage margins ended the full year 2024 and what's assumed in the guidance for 2025? That's basically -- the pacing of this, obviously, is going to be a huge area of focus for the investment community. Any kind of general comments you can talk about progression of MA recovery over the next couple of years ...

Chunk 18 - CVS Q4 2024

So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

Chunk 19 - CVS Q3 2024

They're a Medicare-focused business, and so they're not immune to some of the pressures that others have seen in that marketplace, the nature of that membership, but we've been very pleased with how they've performed. They've maintained a risk-adjustment headwind that's plus or minus -- a little bit below 3%, which we feel is a great first step, given the first year of the implementation of D28. We think that there could be some nice tailwinds in that business next year as we think about some of...

Chunk 20 - CVS Q3 2024

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

Question 8: How does the company expect to improve Free Cash Flow and what is Capex expected to be over the next quarter or next 12 months?

This information is not in the provided transcripts.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

> We expect improvement in our individual exchange business as a result of our pricing actions and deliberate product repositioning, which we project will decrease membership in this block of business in 2025. We will continue to refine our product offerings for long-term sustainability. We also expect underlying growth in our health services business, including growth in pharmacy services as we continue to drive value for our clients and incremental improvement in our healthcare delivery business...

Chunk 2 - CVS Q4 2024

> So your MBRs for the Aetna business, they're going to be lowest in the fourth -- first quarter, and they're going to be highest in the fourth. And you could see eight points of swing between the first and the fourth quarter as you think about the progression of earnings and the progression of MDRs there. And so -- and that's on the total of Aetna. And the second and the third quarters will probably be more similar to each other, but there'll be a little bit more pressure in the third quarter tha...

Chunk 3 - CVS Q3 2024

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Chunk 4 - CVS Q4 2024

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Chunk 5 - CVS Q4 2024

> And really like the position that we have now going into 2025. But look, the business needs to perform at target margin, and we're committed to getting it back to that. It plays a really important role for individual consumers, and it does play a role in our portfolio, but it needs to perform at the target margin. So I think we've taken good steps. More work to do, but we're committed to getting -- returning it to its target margins. Off to a good start. Operator Thank you. Your next question...

Chunk 6 - CVS Q3 2024

> To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

Chunk 7 - CVS Q4 2024

We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 8 - CVS Q3 2024

Shifting now to the tailwinds, we expect improvement in contributions from our healthcare benefits segment. We believe our deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint, which we expect to result in membership disenrollment of 5% to 10%, when combined with our improved star ratings will result in margin recovery. This is a significant first step on our journey back to target margins of 3% to 5%. We continue to view the dislocation between acuity...

Chunk 9 - CVS Q4 2024

We also expect our Medicare Advantage membership to end the year down a high single-digit percentage from year-end 2024. This is consistent with the guidance we have been giving investors since last summer and reflects strong execution by our teams as they made the difficult choices necessary to improve Medicare Advantage profitability in 2025. These membership declines are expected to be partially offset by growth in our Commercial self-insured business. We expect to generate healthcare benefit...

Chunk 10 - CVS Q3 2024

Our leverage ratio at the end of the quarter was approximately 4.6 times, which is above our long-term target. We remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business. As David mentioned, we are not providing a formal outlook for 2024 at this stage; however, we would like to provide some directional commentary to help you better understand how we see the moving parts...

Chunk 11 - CVS Q3 2024

Operator Thank you. We now have John Ransom with RJF. Your line is open. John Ransom -- Analyst Hey. Good morning. Signify and Oak, are they tracking in line with your expectations, and do you think that trend will change in any way next year? Tom Cowhey -- Executive Vice President, Chief Financial Officer Signify has had a great year. As we noted, the volume was up, I think 37% year over year inside the third quarter. That business has continued to perform very well. Oak Street overall has...

Chunk 12 - CVS Q4 2024

We are cautiously optimistic that our benefit design changes in 2025 will help alleviate some of the supplemental benefit pressure. In our Medicaid business, acuity remained consistent with the latter part of the third quarter as redeterminations have largely concluded across our state footprint. We continue to work closely with our state partners to align rates with the changes in acuity. During the quarter, we made additional progress on rate updates, and with over 40% of our book having repri...

Chunk 13 - CVS Q3 2024

To date, pressures in this business have largely been manageable as we have proactively pushed rate to cover emerging medical costs trends. This will result in lower commercial risk membership in 2025, hindering our ability to grow earnings in this business. Days claims payable at the end of the quarter was 44.6 days, up 1.5 days sequentially, primarily driven by the impact of the premium deficiency reserves. DCP was down 5.7 days from the prior-year quarter, primarily driven by growth in our Me...

Chunk 14 - CVS Q4 2024

At Aetna, we drove meaningful progress improving and strengthening our operations. We have significant opportunities to unlock embedded earnings that is most pronounced in our Medicare Advantage business. Our focus remains on delivering our commitments to our Medicare Advantage members while creating a viable path to appropriate margins. In line with our prior commentary, we expect that we will shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024.

Chunk 15 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 16 - CVS Q3 2024

Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

Chunk 17 - CVS Q3 2024

In PCW, while the immunization season got off to a stronger start than we expected, shifting demand into the third quarter, strong script growth continues to give us confidence in the previous outlook we share with investors. In the health services segment, Caremark's earnings progression in 2024 started slow but has steadily built momentum over the second and third quarters. While we maintain a cautious outlook on our healthcare delivery business as we evaluate the potential for additional Medi...

Chunk 18 - CVS Q3 2024

Operator Thank you. We now have Josh Raskin with Nephron Research. Your line is open. Joshua Raskin -- Analyst Hi. Thanks. Good morning. Just a clarification on the PDR, Tom. I want to make sure I understood what you said, that no PDR has been contemplated for 2025, so MA and [Inaudible] lost money in totality in '24 and it will be positive in 2025? I just want to make sure we've got that right. Then more importantly, can you speak to your updated Medicare, both MA and PDP distribution strat...

Chunk 19 - CVS Q3 2024

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

Chunk 20 - CVS Q4 2024

Our deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year and are part of our ongoing commitment to restore this business to target margins of 3% to 5%. Last month, CMS released the proposed 2026 Medicare Advantage Advance Rate Notice. This update does not address the unprecedented utilization trend experienced across the industry over the past two years. Our team is advocating for a more appropriate rate update, including...

Question 9: What's the company's assessment of the consumer and economy?

CVS Health acknowledges rising healthcare costs are putting pressure on consumers due to affordability challenges, as noted by David Joyner during the Q4 2024 earnings call. The company observes that these pressures stem from broader macroeconomic conditions affecting the retail sector and overall consumer spending habits. Despite these challenges, CVS remains committed to delivering innovative solutions like Simple Pay to enhance member experience and ensure access to affordable healthcare services.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Let me answer the second part first. The way the PDRs are calculated is partially based on how those products are sold, and so our individual Medicare products are differently grouped than how our group Medicare products are. As you can imagine, the nature of the contracts in the group business tends to be multi-year and so there's less ability to make improvement year over year, and so that business has a different profile going i...

Chunk 2 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 3 - CVS Q4 2024

I'll highlight a few. Our capabilities around forecasting and all the levers and capabilities around managing total cost of care, really encouraged by the early progress and really meaningful progress there. Also, as you think about our pricing discipline, that's been the topic a lot here, and I'm very encouraged about what we've done there, and that specifically relates to Medicare Advantage, our Individual Exchange business and honestly, our Commercial business as well. And then, we've been le...

Chunk 4 - CVS Q4 2024

During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition. And you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation document posted to the investor relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning, everyone. T...

Chunk 5 - CVS Q3 2024

Tom Cowhey -- Executive Vice President, Chief Financial Officer Yes, Justin. Let me touch on some of your other questions first. I think part of the question that we need to answer, and that I think you need to ask yourself, is how much of this benefit and this trend that we're seeing is because of the benefits that we put out into the market and what kind of utilization is being induced because of that, what kind of membership did we attract, and how much will that profile change with the chan...

Chunk 6 - CVS Q3 2024

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Third-quarter revenues were approximately $95.4 billion, an increase of approximately 6% over the prior-year quarter, primarily reflecting growth in our healthcare benefits and pharmacy and consumer wellness segments. We delivered adjusted operating income of approximately $2.5 billion and adjus...

Chunk 7 - CVS Q3 2024

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...

Chunk 8 - CVS Q3 2024

To date, the combination of these factors has challenged our visibility and our 2024 outlook. While we are not providing formal guidance today, let me walk you through one potential scenario. If trends develop unfavorably and persist at the significant levels we have experience in recent months, our fourth quarter reported NBR could increase by over 700 basis points as compared to the fourth quarter of 2023. Additionally in this scenario, we would likely need to take a PDR on our group Medicare ...

Chunk 9 - CVS Q4 2024

Tom will provide a more detailed overview of the components of this guidance, as well as a breakdown by segment. I'd like to spend some time taking a step back and sharing with you my observations during my first 100 days as CEO. During this time, I have connected with shareholders, customers and clients. I have met with and heard from elected officials, and importantly, I have spent a great deal of time listening to our consumers and colleagues.

Chunk 10 - CVS Q4 2024

> CVS Health operates in some of the most critical areas of healthcare, and our connections to the people we serve across the country has never been more important because of the challenges we see throughout the U.S. healthcare system. Rising healthcare costs put pressure on consumers as they see increasing challenges with affordability. These rising healthcare costs also put pressure on employers and the government, who largely pay the bill for healthcare.

Chunk 11 - CVS Q3 2024

> David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Yeah, and this is David. Maybe just to reinforce Prem's point here, obviously, the retail sector is pressured, lots of headwinds in this market, and if you look at what Prem and the team have been able to deliver and execute, it's really incredibly impressive -- share growth while you're contracting footprint, service levels are up, and this is all despite obviously pressures around the sector, so I'm incredibly ex...

Chunk 12 - CVS Q3 2024

> We continue to expand our product offering and drive innovation for Aetna's self-insured customers. Last month, we introduced Simple Pay, a differentiated offering for our commercial customers that provides greater price certainty before a visit or treatment. Instead of bills and benefit details, members receive just one simple monthly statement that summarizes all of their medical and pharmacy claims. This offering provides a simpler end-to-end member experience and access to affordable quality...

Chunk 13 - CVS Q4 2024

> Collectively, we are committed to delivering on the promise of CVS Health. We believe that aligning the power of our employees and the CVS Health enterprise behind four specific priorities will deliver on our potential and, ultimately, the results and experiences that we can all be proud of. First, ensuring that each one of our businesses is best-in-class through strong execution. Most importantly, we need to deliver on our turnaround at Aetna and restore this business to target margins.

Chunk 14 - CVS Q4 2024

> And specifically, this was a day-to-day almost hour-by-hour kind of decisions that we made through this execution where we looked at our product mix. And there were several products that we did not see a path to target margin, and we exited those products and then transitioned our members into new products, and that's gone better than expected. And so, that's just kind of one piece of evidence about how we're executing and how we're thinking about the business. Super committed to being an excell...

Chunk 15 - CVS Q4 2024

> It's about the more specific attachment points than the aggregate attachment points. And also within our Commercial block then, on IFP, we really continue to see trends accelerate into the fourth quarter, and a lot of that was actually driven by inpatient claims. We also took a little bit of an enhancement on our risk-adjusted revenue accruals after we got the most recent weekly data, although that was a little bit less than what we had previously talked about in that downside scenario. I'd say ...

Chunk 16 - CVS Q3 2024

> Results in our healthcare benefits business remain challenged as a result of continued elevated levels of utilization. While we are clearly underperforming at HCB today, this business has incredible earnings potential and is an essential element to our strategy. We expect the elevated levels of utilization will continue to pressure our 2024 performance and as a result, we are not providing a formal outlook today, although Tom will provide some comments on what we may expect directionally. I appr...

Chunk 17 - CVS Q3 2024

> Tom Cowhey -- Executive Vice President, Chief Financial Officer Thanks, Josh. On the PDR, the PDR is a pretty esoteric accounting rule, and so it looks at the business and looks at it on a variable cost basis, and as we look at and think about our projections for next year, with the improvements that we are expecting across those books, the only one that we think might be close to the line is the group Medicare business, which is why we highlighted that for investors; but I wouldn't take that t...

Chunk 18 - CVS Q4 2024

So whether that's in our Medicare business or our group commercial block, as we exited the year in 2024, those trends are consistent with what is in our guidance for 2025. And so, I think that would be the place where you could see the most potential upside would be inside that healthcare benefits business. And this isn't necessarily a 2025 opportunity. But as you think a little bit longer term, the healthcare benefits business, even at the top end of the guidance range, it's 1.5 points of margi...

Chunk 19 - CVS Q3 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Just as it relates to the focus, obviously my near-term focus is driving and accelerating the performance of that business. As Tom mentioned, the stars tailwind will be very positive for both '25 and into '26. There will be a very strong focus on total cost of care, so as we know what the pricing and the benefits are for the risk that we're managing, to make sure we have the underlying clinical resources and total ...

Chunk 20 - CVS Q4 2024

Tom? Tom Cowhey -- Executive Vice President, Chief Financial Officer Thank you, David, and thanks to everyone for joining us this morning. I'll start with a few highlights on total company performance. Fourth quarter revenues of nearly $98 billion increased more than 4% over the prior year quarter, primarily driven by growth in our healthcare benefits and pharmacy & consumer wellness segments. We delivered adjusted operating income of over $2.7 billion and adjusted EPS of $1.19 as we saw stron...

Question 10: Was there mentions around restructuring or distress? -Layoffs, dispositions, refinancing challenges, etc.

In Q3 2024, CVS Health took a significant restructuring charge of nearly $1.2 billion, which included impairment charges for approximately 270 stores expected to close in 2025, costs related to the discontinuation of non-core businesses, and expenses associated with workforce optimization. This information indicates that the company has undertaken substantial operational changes aimed at improving performance and profitability.

Source Chunks Used (20 retrieved):

Chunk 1 - CVS Q3 2024

Our risk management processes have been restructured to pull underwriting and pricing authority out of the business units and into the financial chain. This realignment will help improve transparency and accountability as we execute our margin recovery and drive profitable growth. Of course, Tom and I will work closely with Steve, Katerina, and Andreana to scrutinize and support the underwriting and pricing decisions going forward. We have also been making operational changes, identifying and pr...

Chunk 2 - CVS Q3 2024

One other item I would like to highlight for investors is that we took a restructuring charge of nearly $1.2 billion in the quarter. This amount reflects several components, including impairment charges for approximately 270 stores we expect to close in 2025, costs related to the discontinuation of non-core businesses, and costs associated with workforce optimization. Shifting now to cash flow and the balance sheet, for our third quarter we generated year-to-date cash flow from operations of app...

Chunk 3 - CVS Q4 2024

It's about the more specific attachment points than the aggregate attachment points. And also within our Commercial block then, on IFP, we really continue to see trends accelerate into the fourth quarter, and a lot of that was actually driven by inpatient claims. We also took a little bit of an enhancement on our risk-adjusted revenue accruals after we got the most recent weekly data, although that was a little bit less than what we had previously talked about in that downside scenario. I'd say ...

Chunk 4 - CVS Q3 2024

Shifting now to the tailwinds, we expect improvement in contributions from our healthcare benefits segment. We believe our deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint, which we expect to result in membership disenrollment of 5% to 10%, when combined with our improved star ratings will result in margin recovery. This is a significant first step on our journey back to target margins of 3% to 5%. We continue to view the dislocation between acuity...

Chunk 5 - CVS Q4 2024

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Chunk 6 - CVS Q3 2024

The entire industry has seen pressure, including elevated utilization coming out of the COVID-19 pandemic and higher acuity as a result of the Medicaid redeterminations; however, I recognize that we have been more acutely impacted than others in the industry. As a result of our disappointing star ratings for 2024, we began the year with a known and temporary reimbursement challenge. When we priced our Medicare Advantage business for 2024, we clearly underestimated the medical cost. In this risin...

Chunk 7 - CVS Q3 2024

During the quarter, the segment generated an adjusted operating loss of $924 million. This result includes the impact of premium deficiency reserves of approximately $1.1 billion recorded primarily in our Medicare and individual exchange businesses. As a reminder, PDRs generally measure variable losses in a product and do not contemplate fixed expenses. The aggregate of the PDRs was comprised of approximately $670 million of healthcare costs and $394 million of operating expenses specifically re...

Chunk 8 - CVS Q3 2024

The pressure was largely attributable to the same categories we discussed last quarter, including in-patient, outpatient, supplemental benefits, and pharmacy. During the third quarter, we also saw unfavorable development of 2024 medical costs primarily related to second-quarter dates of service, which has adversely impacted our trend outlook for the remainder of the year. Medical costs in our individual exchange business also accelerated during the quarter with broad levels of higher utilization...

Chunk 9 - CVS Q3 2024

Despite challenges in 2024, we have taken deliberate actions that position us for growth in 2025 and beyond. While we will not give formal 2025 guidance until next year when we have better visibility on our 2025 medical cost baseline and our changing membership, I want to provide an update on some of the key headwinds and tailwinds. Starting first with the headwinds, in our PCW segment we expect earnings to decline in line with our long-term guidance framework. As David mentioned, we are encoura...

Chunk 10 - CVS Q4 2024

I feel good about where it is that we are booked at the end of this year that that should hopefully not be a problem that comes back to bite us in 2025. So then the question becomes, what is the value of the actions that we took? And with a membership mix that has churned so substantially, we think that we will make progress, but we really need to understand a little bit more about who even some of those members are because they have until the end of March to pay their first month premium and be...

Chunk 11 - CVS Q3 2024

To date, pressures in this business have largely been manageable as we have proactively pushed rate to cover emerging medical costs trends. This will result in lower commercial risk membership in 2025, hindering our ability to grow earnings in this business. Days claims payable at the end of the quarter was 44.6 days, up 1.5 days sequentially, primarily driven by the impact of the premium deficiency reserves. DCP was down 5.7 days from the prior-year quarter, primarily driven by growth in our Me...

Chunk 12 - CVS Q4 2024

David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Lisa, and appreciate the question. Let me give you a little bit of perspective on the first 100 days and then the things that I believe that we're focusing on and can deliver into '25. So as I mentioned in the first quarter or the very first earnings call, I needed to focus on the most pressing and urgent issues of the company, which at this point, I'm happy to report, we spent a lot of time focusing on ...

Chunk 13 - CVS Q4 2024

We're improving that margin in the current outlook. It's not getting back to breakeven, so it will be loss-making. And I think that's one of the biggest swing factors is performance of that business this year between the high and the low end. A lot of that, I think, is ultimately going to be driven by how Medicare performs over the remainder of the year, how some of those changes in benefits that we made and the changing membership mix and how those new members perform. And so, I think there's ...

Chunk 14 - CVS Q4 2024

Our overall rate advocacy efforts are currently on track. In our group commercial risk book, fourth quarter trends remained elevated. And similar to others in the industry, we experienced some pressure on our stop-loss business, which represents less than 3% of our 2024 premiums. We continue to take a cautious outlook on medical cost trends in this block and combined with lower membership, we expect lower contributions from this business in 2025.

Chunk 15 - CVS Q4 2024

Today's call is also being broadcast on our website, where it will be archived for one year. During this call, we'll make certain forward-looking statements. Our forward-looking statements are subject to significant risks and uncertainties that could cause actual results to differ materially from currently projected results. We strongly encourage you to review the reports we file with the SEC regarding these risks and uncertainties, in particular those that are described in the cautionary statem...

Chunk 16 - CVS Q3 2024

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Chunk 17 - CVS Q4 2024

Tom will provide a more detailed overview of the components of this guidance, as well as a breakdown by segment. I'd like to spend some time taking a step back and sharing with you my observations during my first 100 days as CEO. During this time, I have connected with shareholders, customers and clients. I have met with and heard from elected officials, and importantly, I have spent a great deal of time listening to our consumers and colleagues.

Chunk 18 - CVS Q3 2024

We are also projecting modest negative margins in our Medicaid business. It is possible that our healthcare benefits business could show operating losses in 2024 after generating over $5.5 billion of adjusted operating income in 2023. Conversely, this means that there are well over $3 of embedded adjusted EPS if we could return Aetna's profitability to 2023 levels. Open enrollment for both Medicare Advantage and individual exchange has demonstrated that we took meaningful action in curtailing be...

Chunk 19 - CVS Q3 2024

During this call, we'll use non-GAAP measures when talking about the company's financial performance and financial condition, and you can find a reconciliation of these non-GAAP measures in this morning's press release and in the reconciliation documents posted to the Investor Relations portion of our website. With that, I'd like to turn the call over to David. David? David Joyner -- Executive Vice President, CVS Health and President, CVS Caremark Thank you, Larry, and good morning everyone. B...

Chunk 20 - CVS Q3 2024

We expect 2025 to be a transition year that positions us for outperformance of our long-term growth target in future years. We also remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop. As we previously discussed, we expect a return of certain variable corporate expenses. We also expect higher interest as we annualize the expense from our May 2024 financing, a decline in net investment income, and m...